

LITHUANIA 2016

Table of Contents

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Introduction	1
1. Overview of the tax-benefit system	2
2. Unemployment insurance	3
3. Unemployment assistance	6
4. Social assistance	6
5. Housing benefits for rented accommodation	12
6. Family benefits	15
7. Childcare for pre-school children	18
8. Employment-conditional benefits	20
9. Lone-parent benefits	20
11. Tax system	22
12. Part-time work	26
13. Policy developments	27
14. Other benefits	27
Social security contributions to general government	31
Social security contributions paid to institutions outside general government	31
Payroll taxes	31

Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at <http://www.oecd.org/els/soc/benefits-and-wages-country-specific-information.htm>.

1. Overview of the tax-benefit system

Lithuania has contributory unemployment insurance benefit for those out of work. Insurance is compulsory. Unemployment benefit is a monthly payment for persons who have made social security contributions and are out of work. There is no unemployment assistance benefit in Lithuania.

Social assistance is available for persons with limited means. The most important social assistance benefits are social benefit and housing benefit. Social benefit guarantees a minimum income for persons with limited means and is also available to working people with incomes below minimum income level. The family income and the property are examined to assess eligibility for the social benefit and housing benefit. Municipalities are responsible for funding and administration of cash social assistance.

With regard to family benefits, the most important is child benefit for people with children.

Earnings-related benefits are based on gross earnings. As concern social benefits, only insurance maternity benefit and sickness benefit are taxable.

The direct tax system consists of a central government income tax which is flat.

1.1. Average Worker wage (AW)

The final average gross monthly earnings of employees (in full-time units) in business economy (B–N) for 2016 amounted to EUR 780.8.

2. Unemployment insurance

Unemployment insurance benefit is a monthly payment for persons who have made social security contributions and are out of work.

Program name in local language		Unemployment insurance benefit (Nedarbo draudimo išmoka)
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 18 out of last 36 months
Waiting period (days)		8 calendar days
Maximum duration (months)		6-9 (depending on contribution history)
Uprating mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	Until month 3: Fixed component of EUR 102 per month plus 40% of calculated prior reference income
	benefit at the end of legal entitlement period in % of calculation base	From month 4: Fixed component of EUR 102 per month plus 20% of calculated prior reference income
	Calculation base	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	None permitted
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: + 2 months of benefit for unemployed not more than 5 years below retirement age
	family situation	n.a.
	contract type	n.a.
	other	n.a.

2.1 Conditions for receipt

The right to unemployment insurance benefit is granted to a person aged 16 and over who has not reached the retirement age (61 years and 8 months for women and 63 years and 4 months for men) and who is registered in a local labour exchange office as unemployed.

The eligibility does not depend on whether the job loss is “voluntary” or not.

2.1.1 Employment conditions

Employment conditions are as follows: to be fully unemployed, be able to work and be available for work; to be ready to participate in the measures of active labour market policy.

2.1.2 Contribution conditions

Social insurance contributions must have been made for at least 18 months in the last 36 months.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

The unemployed persons who have been dismissed from work (service) and received a severance pay or compensation by agreement between the parties shall be granted the unemployment insurance benefit not earlier than after such number of calendar months for which a severance pay or compensation in the amount of an average monthly wage was paid after the termination of the employment contract (dismissal from the service).

Payment of the unemployment insurance benefit to the unemployed persons who have been dismissed from work/service due to the fault of the employee shall be started upon expiry of 3 calendar months from the date of registration with the local labour exchange.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The unemployment benefit (unemployment social insurance benefit) comprises a fixed and a variable component.

The **fixed component** equals to the State Supported Income. The State Supported Income is EUR 102 per month.

The **variable component** is linked to the former insured income of the unemployed and the Insured Income of the Current Year approved by the Government.

Insured income of the insured person are all incomes of an individual from which the unemployment insurance contributions were paid or had to be paid and also all the unemployment insurance benefits, sickness, maternity, paternity, or maternity (paternity) benefits provided for in the laws related to social insurance and received by the insured person.

The variable component is calculated as follows:

- take the amount of the actual insured income of an unemployed for every month during the previous 36 months (including months with zero income) starting from the end of the calendar quarter to the date of the unemployed registration at Labour exchange;
- divide each monthly insured income of the unemployed by the Insured Income of the relevant Current Year and calculate the average of these values;
- multiply the calculated average by the Insured Income of the Current Year of the month when unemployment social benefit is to be allotted;
- take 40% of the calculated amount. It is a variable component of the benefit.

The full amount is paid during the first three months of unemployment. For the remaining months the variable component is reduced by 50%.

Minimum unemployment social insurance benefit consists of EUR 102 (i.e. the State Supported Income), maximum unemployment social insurance benefit - EUR 311.5 (i.e. 70% of Insured Income).

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

The Insured Income consisted of EUR 445 for 2016 per month.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Any income from work cancels entitlement to unemployment benefit. Unemployed people under retirement age receiving pensions (with exception of survivor's, orphan's and loss breadwinner's pensions) or compensations for special working conditions, for lost capacity for work due to occupational accidents and occupational diseases shall be paid only the part of the unemployment insurance benefit which exceeds the sum of the received pensions or compensations.

2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

2.4 *Benefit duration and waiting periods*

The duration of payment of benefit depends on the length of the unemployment insurance record:

- less than 25 years – 6 months
- 25 - 30 years – 7 months
- 30 - 35 years – 8 months
- 35 years and over – 9 months

For the unemployed person who is not more than 5 years below the retirement age the duration of unemployment benefit shall be extended by 2 additional months.

Qualifying period for unemployment insurance is the period during which the unemployment insurance contributions were paid or had to be paid and also the periods during which the insured person received the unemployment insurance benefits or social insurance sickness, vocational rehabilitation, maternity, paternity or maternity (paternity) benefits provided for in the laws related to social insurance.

Unemployed person can re-apply for unemployment benefit after 12 months after the date of termination of payment of the previous unemployment insurance benefit.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment.

2.5.2 *Older workers*

For the unemployed person who is not more than 5 years below the retirement age the duration of unemployment benefit shall be extended by 2 additional months.

2.5.3 *Others if applicable, including disabled*

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

The duration of unemployment benefit for women who during the period of payment of the benefit temporarily lost capacity for work due to pregnancy and childbirth shall be extended for the period corresponding to the period of payment of the maternity benefit.

The unemployment benefit for persons who during the period of paying of the benefit have temporarily lost capacity for work due to sickness or trauma shall be extended for the number of calendar days of the person's sickness but for not more than 30 calendar days.

3. Unemployment assistance

No special unemployment assistance.

4. Social assistance

The poor residents who are unable to obtain by themselves enough funds for living receive social benefit. This social assistance depends on the basis of income and property evaluation in Lithuania. Payment rates, durations or aspects of means-testing do not depend on the ages of the claimant or his/her family members.

Program name in local language		Social benefit (Socialinė pašalpa)
Minimum age condition for social assistance receipt		...
Legal behavioural requirements	Registration as unemployed*	Yes
	Participation in integration measures	Yes
	Active job search*	Yes (with exceptions for certain groups)
	Work requirement*	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	Family members >18 years are working for more than 2/3 standard working time or full-time students, or registered as unemployed, etc.
Determination of benefit levels		National
Uprating mechanism of the benefit		...
Other supplements to basic benefit (per family)		Support to pupils of EUR 57 per year
Means-test for social assistance	Earnings disregards	No
	Benefit withdrawal rate with regard to earned income	100% with regard to net household income
	Assets included in means test?	Yes
	Other benefits included in the means test	Unemployment benefit, alimony advance payments
Benefit	age	n.a.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

provision (eligibility (E), generosity (G)) varies with	family situation	G: 100% for first person, + 80% for second person,+ 70% for each other persons
	over time	G: -20% month 12 to 24, -30% month 24 to 36, -40% month 36 to 48, - 50% month 48 to 60, from month 60 on the benefit is not granted .
	other	n.a.

Note: *Conditions for healthy working-age individuals

4.1 Conditions for receipt

Families (single residents) are entitled to social benefit if they comply with these conditions:

- the value of the property does not exceed the ratio of fixed property value;
- the average income of a family (single resident) during the period of three months preceding the month when the family (single resident) acquired the right to social benefit is lower than state supported income per family (single resident);
- family members (single residents) over 18 years of age are in one of these situations:
 - employed and during the period of three months the income of which has to be calculated, worked no less than two thirds of the duration of working time established in the Labour Code, or work part-time in the cases specified in the Labour Code, and the amount of pay is calculated for them to make not less than a minimum monthly pay or minimum hourly consideration in proportion to the time of work or by result; the amount of pay calculated per family member (single resident) who worked not less than a calendar month from the commencement of employment is not less than a minimum monthly pay or a minimum hourly consideration in proportion to the time of work or by result;
 - full-time pupils and students of general education schools and other institutions of formal education and are under 24 years of age;
 - are of the retirement age set by the law or receive pensions (except the State social insurance disability pension granted to a person with capacity to work reduced by 45-55%), pension benefits or social assistance benefits;
 - are persons with capacity to work reduced by 60-70% or 75-100%;
 - are the persons who have registered with the state territorial labour exchange;
 - are nursing a family member, a child placed under guardianship in accordance with the procedure established by the law or a next of kin of such family member or his (her) spouse for whom the necessity of permanent nursing (assistance, care) has been established in the manner prescribed by legal acts;
 - are undergoing treatment in a in-patient health care institution for at least a month;
 - pregnant women with less than 70 calendar days left before a baby is due (28 or more weeks of pregnancy);
 - a mother or a father (a guardian or a curator) raises at home:
 - a child under 3 years of age who does not attend a pre-school educational establishment;
 - a child of the pre-school age but not older than 8 years of age who does not attend a pre-school educational establishment due to doctor's

- recommendation or because there is no pre-school educational establishment in the place of residence, or there are no vacancies in it;
- children between 16 and 18 years of age are in one of the following situations:
 - working (requirements for people older than 18 described in the 3rd paragraph do not apply);
 - attend institutions of formal education;
 - are invalids or disabled in the manner prescribed by the law;
 - have registered with the state territorial labour exchange;
 - are pregnant women.

Families of the divorced or separated spouses who raise children under 18 years of age are entitled to social benefit if they have concluded a court-approved contract for the maintenance of a child (children) or the maintenance of a child (children) has been ordered by the court.

The families of the persons who are not married, are lone parents of children under 18 years of age shall be granted social benefit:

- if their child's (children's) paternity has been ascertained or established and the court has order maintenance for the child (children);
- where there is no possibility to identify the father (mother) of the child in the manner prescribed by law or the court cannot adjudge maintenance of the child to his father (mother);
- during the proceedings of a case relating to the establishment of paternity and (or) ordering of maintenance.

If these families have not concluded a court-approved contract on maintenance of a child (children) or the court has not ordered maintenance of a child (children), as well as if paternity is not ascertained or established for the child (children) and the court has not ordered maintenance for the child (children), social benefit shall be granted only to such child (children).

The right to receive the mean tested social benefit depended not on the type of income, but on the level of income and property.

4.2 *Calculation of benefit amount*

Families and single permanent residents of the Republic of Lithuania who receive per capita income not higher than the level of the State Supported Income established by the Government are entitled to a social benefit.

State Supported Income is EUR 102.

4.2.1 *Calculation of gross benefit*

State Supported Income is adjusted at irregular intervals according to governmental decision.

Amount of the Social Benefit:

1. The amount of the social benefit for a single person who is entitled to it shall make 100 per cent of the difference between the amount of state-supported income per single person and the average monthly income per single person.
2. The amount of the social benefit for persons living together who are entitled to it, including the cases where the social benefit is granted only to a child (adopted child) or children (adopted children), shall make up:
 - a) for the first of the persons living together - 100 per cent of the difference between the amount of state-supported income per one of the persons living together and the average monthly income of the persons living together per one of the persons living together;
 - b) for the second of the persons living together - 80 per cent of the difference between the amount of state-supported income per one of the persons living together and the average monthly income of the persons living together per one of the persons living together;
 - c) for the third and subsequent persons of those living together - 70 per cent of the difference between the amount of state-supported income per one of the persons living together and the average monthly income of the persons living together per one of the persons living together.

Grounds for Additional Granting or Reducing of the Social Benefit

1. Persons living together (or single resident) shall be additionally granted the social benefit the amount of which is equal to 50 per cent of the average amount of the social benefit paid during the last 12 months prior to employment for each month related to labour or service relationships but not longer than for six months, if the persons living together meet all of the following conditions:
 - a) at least one of the persons living together gets employed and his remuneration for work is not less than the minimum monthly wage or the minimum hourly pay but not more than two minimum monthly wages or two minimum hourly pays (the minimum wage as of January 1, 2016, was EUR 350 per month and as of July 1, 2016, EUR 380 per month; minimum hourly pay EUR 2.13 and 2.32 respectively);
 - b) before employment the persons were registered with the local labour exchange office;
 - c) persons living together were the recipients of the social benefit at least one month during the last three months before the employment and lose eligibility to the benefit due to finding employment;
 - d) application for allocation of additional social benefit when employed is submitted no later than during 6 months since the employment
2. Social benefit (except social benefit paid for child (children), also adult child (children) who study according to the general education curriculum) **is reduced** to those beneficiaries who are entitled to social benefit for a long time:
 - a) for the person (persons) receiving the social benefit from 12 months to 24 months - the amount of the social benefit for the persons living together or for the single person is reduced by 20 per cent

- b) for the person (persons) receiving the social benefit from 24 months to 36 months - the amount of the social benefit for the persons living together or for the single person is reduced by 30 per cent
- c) for the person (persons) receiving the social benefit from 36 months to 48 months - the amount of the social benefit for the persons living together or for the single person is reduced by 40 per cent;
- d) for the person (persons) receiving the social benefit from 48 months to 60 months - the amount of the social benefit for the persons living together or for the single person is reduced by 50 per cent;
- e) for the person (persons) receiving the social benefit for more than 60 months - the social benefit in cash is not granted.

Income test

All income (net income, pensions, periodical State benefits etc.) are taken into account with the exception of inter alia Social Benefit, extraordinary grants, special social allowances.

The Family actual income (net income: wages (except wages of pupils studying at general education schools and vocational institutions according to general education or vocational training curricula), pensions, benefit to a conscript's, unemployment benefit, alimony, income from farming, etc.) is taken into account when calculating Social Benefit.

Since 2012 when granting social benefits to a family (single resident), the net income of a family (single resident) includes the received child benefit.

4.2.1.1 Irregular additional payments

Pupils who study according to general education (primary, basic, secondary or special education) curricula or pre-school curricula shall be entitled to provision of school supplies for pupils if the average monthly income per family member is lower than the amount of 1.5 State Supported Income EUR 153. The amount of this benefit is 1.5 of the Basic Social Benefit EUR 57 per year (paid in cash and in some cases in kind).

Basic Social Benefit (BSB) is EUR 38 per month.

4.2.1.2 Obligations of family members

Families or single residents shall be entitled to social benefit if family members (single residents) over 18 years of age are employed and during the period the income for which is being calculated, worked no less than two thirds of the duration of working time established in the Labour Code or family members (single residents) are the unemployed receiving Unemployed Insurance Benefits or are the unemployed and who are registered at a local office of Lithuanian Labour Exchange as the job-seekers

Families (single residents) shall be entitled to social benefit if they comply with the conditions referred in legal acts.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job.*

None.

4.3 *Tax treatment of benefit and interaction with other benefits*

Social Benefit is not subject to taxation.

The family has the right to receive the social benefit if unemployed family member received the unemployment insurance benefit, in other case, the family has right to receive the social benefit after 6 month the unemployed family member has registered as a job-seeker.

4.4 *Benefit duration and waiting periods*

The benefit duration granted for three months. The social benefit may be renewed (unlimited number of renewals) if the circumstances have not changed.

4.5 *Treatment of particular group*

No specific supplements.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable, including disabled*

5. Housing benefits for rented accommodation

This support is means-tested and could be used to cover expenses for the house heating, drinking and hot running water.

Regular housing benefits	Program name in local language		Compensations for heating costs, drinking water costs and hot water costs (Būsto šildymo, geriamojo ir karšto vandens išlaidų kompensacijos)
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	Yes
		Geographic location	No
		Actual rental cost	No
	Description of regular housing benefit		Means–tested support to cover expenses for the house heating, drinking and hot water. Housing benefits depend on actual cost and the state supported income per family (person).
	Uprating mechanism of the benefit		None
Housing related support through other benefits			No

5.1 Conditions for receipt

Families (single residents) are entitled to compensations if they comply with these conditions:

- the value of the property does not exceed the ratio of fixed property value;
- heating costs of the useful floor space of a dwelling, but not exceeding the ratio established in the Law, exceed 20% of the difference between the income of a family (single residents) and the State Supported Income per family or single residents;
- costs of the factual quantity of cold water and sewage, but not exceeding the ratio established in the Law, exceed 2% of the income of a family or single residents;
- costs of the factual quantity of hot water and sewage, but not exceeding the ratio established in the Law, when the centralized heating supply system is used to produce hot water, or costs of other energy or fuel used to produce the standard quantity of hot water as fixed in the Law exceed 5% of the income of a family or single residents;
- For the main conditions see information on Section 4.1.

Housing benefits shall not be granted to a family member or a single resident, if he:

- receives long-term social care services at a social care institution;
- is a pupil or a student under 24 years of age studying and living in a foreign country;

- is serving a sentence, detained or arrested, search for him is announced or declared to be missing;
- does a mandatory initial military service;
- does not possess a permit for permanent residence in the Republic of Lithuania, if he must possess such a permit according to effective legal acts.

If a family has not concluded a court-approved contract on maintenance of a child or has not appealed to the court with respect to establishment of maintenance and/or acknowledgement of paternity, or appealed but paternity has not been acknowledged and/or maintenance has not been established, such family shall not be entitled to reimbursements and only a child (children) shall be entitled to a social benefit.

If two or more families and/or single residents have declared their place of residence in one dwelling and paying for public utilities according to a single account (a single pay book), but at least one of the families (single resident) is not entitled to reimbursements, none of these families and single residents shall be entitled to such reimbursements.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Families or single residents shall be entitled to the following compensations:

- during the heating season – part of the expenses for heating of the useful floor space of a dwelling, but not exceeding the ratio set in the Law, taking into account the consumption of energy or fuel, exceeding 20% of the difference between the income of a family or single resident and the state supported income per family or single resident;
- part of the costs of the factual quantity of cold water and sewage, but not exceeding the ratio set in the Law, exceeding 2% of the income of a family or single resident;
- part of the costs related to the factual quantity used to produce hot water, but not exceeding the ratio set in the Law, exceeding 5% of the income of the family or single resident. The costs related to the production of hot water shall include the consumption of energy or fuel to heat water, not exceeding the set ratio, and the consumption of energy or fuel, attributed to a dwelling, to maintain the temperature of hot water (circulation). When hot water is produced by using centralized heat supply, costs related to the production of hot water shall also cover the costs of cold water used to produce hot water (including the costs of sewage).
- The following ratios shall apply in calculating compensations:
- the useful floor space ratio per persons who have declared the place of residence in the dwelling or rent it: 50 square meters for a single person, 38 square meters for the first of the persons living together; 12 square meters for the second of the persons living together, 10 square meters for the third and subsequent persons of those living together. These ratios shall be set on the basis of cadastral measurement data;
- the hot water ratio per persons who have declared the place of residence in the dwelling or rent it: 1.5 cubic meters for the first of the persons living together or a single person per month; 1 cubic meter for the second of the persons living together per month; 0.5 cubic meter for the third and subsequent persons of those living together per month ;
- the drinking water ratio per persons who have declared the place of residence in the dwelling or rent it: when the centralized heating supply system is used to produce hot water,

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2 cubic meters for the first of the persons living together or a single person per month; 1,5 cubic meters for the second of the persons living together per month, 1 cubic meter for the third and subsequent persons of those living together per month; when other types of energy or fuel are used to produce hot water, 3,5 cubic meters for the first of the persons living together or a single person per month; 2,5 cubic meters for the second of the persons living together per month, 1.5 cubic meter for the third and subsequent persons of those living together per month.

5.2.2 *Income and earnings disregards*

None.

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

Compensations are not subject to taxation.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable, including disabled*

Cash benefit for utility expenses in the amount of 20% BSB (EUR 7.6) per month for disabled parents raising children under 18 years of age (24 years of age if in full-time education), if there are no members of the family capable of work.

6. Family benefits

Program name (local name in parentheses if available)			Child benefit (išmokos vaikams)
Type of benefit			Mean-tested
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		7 (if 1-2 children) 18 (if > 2 children)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No
Uprating mechanism of the benefit			...
Benefit amount	Benefit amount per child varies with (where +: positively; 0: no influence; -: negatively; --: fixed amount per family)	Age of child	- for > 2 years
		Number of children	0
	Earnings disregard		EUR 153 per month
	Withdrawal rate		Fully withdrawn if net income per family member exceeds threshold
	Assets part of means test?		No

Families with children are receiving state assistance, ensuring support for every child from the birth until the age of majority. This assistance is provided from the State budget, irrespective of the family income (except child benefit) and irrespective of whether the person is insured with the state social insurance or not.

The following types of benefits are set in the Republic of Lithuania:

1. Benefits to children raised in families:
 - a lump-sum child benefit (birth grant / adoption grant);
 - child benefit;
 - benefit for a child of a serviceman in mandatory primary military service.
2. Benefits to children under guardianship and persons for whom guardianship (curatorship) is determined:
 - guardianship (curatorship) benefit;
 - targeted guardianship (curatorship) benefit supplement;
 - a lump sum settlement benefit;
3. A lump-sum benefit for a pregnant woman

6.1 *Conditions for receipt*

Child benefit

For those raising (fostering) one or two children:

- Every child, raised in a family or placed under guardianship in a family aged under 2 years, receives a monthly benefit of 0.75 BSB (EUR 28.5), if the monthly net income per family member is less than 1.5 times the amount of the SSI (EUR 153).
- Every child raised in a family or placed under guardianship in a foster family aged 2 and over but under 7 years, receives a monthly benefit of 0.4 BSB (EUR 15.2), if the monthly net income per family member is less than 1.5 times the amount of the SSI (EUR 153).

For those raising (fostering) three and more children:

- Every child, raised in a family or placed under guardianship in a family aged under 2 years, receives a monthly benefit of 0.75 BSB (EUR 28.5), if the monthly net income per family member is less than 1.5 times the amount of the SSI (EUR 153).
- Every child raised in a family or placed under guardianship in a foster family aged over 2 and under 18 years, receives a monthly benefit of 0.4 BSB (EUR 15.2), if the monthly net income per family member is less than 1.5 times the amount of the SSI (EUR 153).

Net income means: gross earnings after deductions of taxes and social contributions, social benefits, alimony, etc.

6.2 *Calculation of benefit amount*

None

6.2.1 *Calculation of gross benefit*

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

Family benefits are not subject to taxation.

Child benefit and benefit to a conscript's child are taken into account when calculating income of a family or single resident to get social assistance and housing benefits.

6.4 *Treatment of particular groups*

The same family benefits for all groups.

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

A lump-sum child benefit – birth grant / adoption grant

Each born child is entitled to a lump-sum child benefit - birth grant the amount is equal to 11 values of BSB - EUR 418. On the birth of twins or triplets the birth grant is doubled or tripled, thus it means that each born child is eligible to get a lump-sum child benefit - birth grant. Birth grant is paid to one of the parents raising a child (or to one of the available parents) (adoptive parents) or a guardian of a child.

For each **adopted child**, irrespective whether the lump-sum child benefit - birth grant was paid or not, the family is eligible to get a lump-sum child benefit – adoption grant the amount which is equal to 11 values of BSB – EUR 418.

Benefit for a child of a serviceman in mandatory primary military service

Every child of a soldier in mandatory primary military service receives, during the father's or mother's service, a monthly benefit of 1.5 BSB – EUR 57.

Guardianship benefit (assistance to children who lost parental care)

For a child raised **in a family, social family, child care institution:**

- a child, placed under guardianship in a family, social family or child care institution, during the foster care period receives a monthly guardianship (curatorship) benefit of 4 BSB (EUR 152). If the individual continues uninterrupted education at the general education school, vocational, high or higher school as a full time student (including the period of academic leave), notwithstanding if he works or not, as well as in the cases when both parents (the only parent (foster parent)) of an unemployed major are dead, the benefit is paid until he/she is 24.
- per each child, placed under guardianship in a social family, is paid a monthly objective addition of guardianship (curatorship) benefit of 4 BSB for ensuring social family activities;
- per each child, placed under guardianship in a family, is paid a monthly objective addition of guardianship (curatorship) benefit of 1 BSB (EUR 38);
- if a child in foster care is supported (receives free lodging and meal) in the dormitory of the general education school or vocational school, he receives a monthly benefit of 2 BSB (EUR 72).

The foster care benefit is not granted to children who are detained, arrested, imprisoned, on the run or recognised by the court as a person with unknown whereabouts and where the temporary foster care was established for a child at the request of parents who are temporarily away outside the Republic of Lithuania.

7. Childcare for pre-school children

Full-time childcare

The purpose of the pre-school education is to help a child to satisfy inherent cultural (including ethnic), social and cognitive needs.

The pre-school education takes place in the family; or is provided, upon the request of the parents (foster parents) or the recommendation of institutions responsible for the protection of children's rights, according to a pre-school curriculum.

The pre-school education is provided to children from the age of 1 to 5 (or 6).

The pre-school curriculum is implemented by nurseries, nursery-kindergartens, kindergartens, kindergarten-schools and other schools, freelance teachers or other education providers.

Families raising pre-school children at home receive educational assistance according to a procedure established by the Government or its authorized institution.

The founder of the pre-school determines the fees for children attending pre-school curriculum groups. As usual the fees are paid by parents amount to EUR 50 per month. Meals expenditures account for 80-100 per cent of these fees. Additionally parents pay fees for teaching aids which make up for about EUR 15 per month.

The meals expenditure is reduced by 50 per cent if:

- a family is raising three and more children;
- one of the parents (or a lone parent) (adopters) is raising a child (children);
- a child is of a conscript;
- a father or a mother raising a child is a student or a learner of daily courses.

The meals expenditure is reduced by 20 per cent if: Two children from one family attend the same pre-school institution

Municipal councils of towns and counties which are the founders of pre-school institutions have the right to set additional fees privileges, taking into account the income status of parents, child's health, etc.

Part-time childcare

Children who attend a short time group (up to 4 hours) cannot eat in the pre-school institutions.

7.1 Out-of-pocket childcare fees paid by parents

7.2 Child-care benefits for formal centre-based care

7.2.1 Conditions for receipt

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 Tax treatment of benefit and interaction with other benefits

7.2.4 Treatment of particular groups, including disabled

7.3 Child care allowance for children not using child care centres

Not applicable

Social support for pupils

Social support for pupils is provided for the children from low-income families studying at general education schools, vocational schools, pre-school education establishments and other establishments designed to educate children according to general education or pre-primary curricula, with the exception of curricula for adults.

Social support is not provided for the children studying according to both general education and vocational training curricula as well as the children maintained (receiving free of charge accommodation and meals) by the agencies financed from the State or a municipality or paid a guardianship (curatorship) benefit.

Pupils, depending on family's income, have the right:

1. **to free meals**, if monthly income per family member is lower than the amount of 1.5 SSI – EUR 153;
2. **to provision with pupil's supplies**, if monthly income per family member is less than the amount of 1.5 SSI – EUR 153. Pupil's supplies are provided at the beginning of a school year.

Taking into account the living conditions of families, pupils may be provided free meals also in other cases specified by a municipality which takes a decision on the allocation of social assistance to pupils.

The recommended types of free meals for pupils:

1. lunch;
2. meals in full-day summer camps as organized by schools;
3. breakfast (only in cases specified by a municipality which takes a decision on the allocation of social assistance to pupils).

Determination of prices *of one day* of pupils' free meals:

The sum in the amount ranging from 1.3 per cent to 7.7 percent of the BSB (EUR 0.49-2.93) shall be allocated for purchase of products intended for free meals .

The price of sets of pupil's supplies (including purchase value added tax) – 1.5 of the amount of BSB (€ 57) per pupil during a calendar year (provided in cash in in some cases in kind).

Sets of pupil's supplies for pupils from social risk families are formed for each pupils according to his individual needs, taking account of the number of pupils in a family and the pupil's supplies already available to them.

8. Employment-conditional benefits

None

9. Lone-parent benefits

Program name (local name in parentheses if available)			Alimony advance payment
Type of benefit			Universal
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		17
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Paid under the decision of the court if absent parent does not pay child support
Uprating mechanism of the benefit			...
Benefit amount	Benefit amount per child varies with (where +++: above proportional increase; ++: proportional increase; +: below proportional increase; -: below proportional decrease; --: proportional decrease; ---: > proportional decrease; +/-: decrease or increase; 0: no	Age of child	0
		Number of children	++

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

	influence;)(2)		
	Earnings disregard	1.5 times EUR 153 per month	
	Withdrawal rate	Fully withdrawn if net income per family member above threshold	
	Assets part of means test?	No	

Child Support Fund is existed since 2007. The support (children's maintenance fund benefit) can be paid to child who, under the decision of the Court does not receive all or part of the support awarded by the child's father (the parents). The benefit is paid once a month and is no more than 1.5 BSB, that is EUR 57 (BSB equals to EUR 38).

Child - residing in Lithuania under the age of 18 years old, as well as over 18 years of incapacitated person before the age of 18, was established disability (disability), which more than one month does not receive the court order or court-approved child (children) the maintenance contract maintenance, or has received only part of the maintenance of one or both parents.

11. Tax system

Earning related benefits are based on gross earnings. As concern social benefits, only insurance maternity benefit and sickness benefit are taxable.

State social insurance contributions for each insured person shall be calculated on the basis of wages calculated for each such person, which cannot be less than the minimum monthly wage, benefits of reimbursement and promotional character related to employment relations of such a person, as provided for in respective legal acts and collective agreements, regardless of payment sources. In fixing the minimum income amount, out of which contributions are payable, the minimum monthly wage or minimum hourly rate (depending on working hours accounting system applicable to each specific employee) as approved by the Government of the Republic of Lithuania shall be taken as a basis.

11.1 Income tax

For the purposes of the individual income tax, a distinction between taxable persons is made according to their residence. Residents are subject to income tax on their worldwide income, whilst non-residents are taxed on income from Lithuanian sources only.

For individual income tax purposes, the concept of “income” is understood as any remuneration received for the work performed, services provided, rights transferred or granted, property or means sold, or otherwise transferred or invested, as well as any other benefit in cash or in kind.

11.1.1 Tax allowances and credits

The taxable income shall be calculated by deducting from all income earned during the taxable period:

- tax-exempt income enlisted in the Law;
- income, derived from activity, performed with a business certificate;
- allowable deductions, related to an income derived from individual activity;
- an acquisition price of property, which has been sold or alienated, if the property is not related to individual activity; the expenses, connected with such property’s sale or alienation shall also be deducted;
- basic personal allowance and additional personal allowance;
- deductible expenses enlisted in the Law incurred by the resident.

11.1.1.1 Standard allowances

A resident of Lithuania calculating income tax for the tax period may deduct the following expenses from his income:

- life insurance contributions paid for his own benefit or for the benefit of his spouse or minor children (adopted children) or disabled children (adopted children);
- pension contributions paid for his own benefit or for the benefit of his spouse or disabled children (adopted children);

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- interest paid on one loan (or a part of the loan) taken out for the construction or acquisition of one housing to bank and other credit institutions;
- payments for vocational training or studies (where higher education and/or qualification are obtained upon graduation, and also for doctoral studies and art post-graduate studies) made by studying persons..

The total amount of the above-mentioned deductions shall not exceed 25% of the amount of taxable income.

11.1.1.2 Standard tax credits

There are no tax credits in Lithuanian individual income tax system (except of that providing for elimination of double taxation of income of the Lithuanian resident derived abroad).

11.1.2 Income tax schedule (central government income tax)

In 2016 the individual income tax is levied at 15%.

The basic and special tax-exempt amount has applied from 2010.

The full basic tax-exempt amount (BTEA) consisted of EUR 200 per month. The actual BTEA depends on the amount of person's income and is calculated as follows:

1. the full BTEA (EUR 200) is applied to persons whose income related to labour relations was EUR 350 or less per month;
2. for a person whose income related to labour relations was more than EUR 350 per month BTEA is calculated according to the formula:
$$\text{BTEA} = 200 - 0,34 \times (\text{income of the person related to labour relations} - 350).$$
 If the BTEA calculated according to this formula is negative, it is assumed to be equal to 0.

An additional tax-exempt amount (ATEA) shall be applied to persons of Lithuania (parents or adoptive parents) who are raising children (adopted children) under 18 years of age and older, if they study at full-time general education schools.

ATEA for the first child (adopted child) and for the second and next child (adopted child) equals EUR 120.

During the tax period, the ATEA shall be applied by dividing the total amount of the ATEA equally between the parents (adoptive parents). If a person raises children (adopted children) alone, the whole amount of the ATEA is applied to him. Where income of parent is below the ATEA, the higher earning partner can use any unused ATEA.

For example, a single person earned EUR 800 per month. So, BTEA of EUR 47 was applied to him ($200 - 0,34 \times (800 - 350) = 47$); a person, who raises 1 child, earned per month EUR 800. So, basic and special tax-exempt amount of EUR 167 ($47 + 120$) was applied to him (if he is only one earner in the family); a person, who raised 2 children, earned EUR 800 per month. So, basic and special tax-exempt amount of EUR 287 ($47 + 120 + 120$) was applied to him (if he is only one

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

earner in the family) and EUR 167 (47 + 60 +60), if both parents had income related to labour relations.

11.1.3 State and local income taxes

There are no local income taxes in Lithuania.

11.2 Treatment of family income

There are no special rules for the taxation of family units. The income of spouses is taxed separately.

But there are some provisions according to which the right to deduct certain items can be shared or transferred between spouses, e.g. additional personal allowance for children, life insurance and pension contributions paid for the benefit of the taxpayer's spouse or minor children (adopted children). Where a studying resident of Lithuania is not an income taxpayer or has no possibility to exercise his right to deduct payments for vocational training or studies from his income, such expenses may be deducted by his parents (adoptive parents) or guardians as well as his sister, brother and/or spouse (cohabitant) from their income.

11.3 Social security contributions and payroll taxes

State social insurance in Lithuania is financed with contributions of employers and the insured persons.

11.3.1 Contributions payable by employees and benefit recipients

Rate of the state social insurance contributions of the insured – 9 percent. Rate amounts for separate types of social insurance:

- for pension social insurance – 3 percent;
- for health insurance – 6 percent.

11.3.2 Contributions payable by employers

The overall rates of the state social insurance contributions payable by insurers for pension, sickness and maternity, unemployment social insurance and health insurance (without social insurance for occupational accidents and occupational diseases) – 30.8 percent. Rates amounts for separate types of social insurance:

- for pension social insurance – 23.3 percent;
- for sickness and maternity social insurance – 3.4 percent;
- for unemployment social insurance – 1.1 percent;
- for health insurance – 3 percent.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

The overall rate of the state social insurance contributions for occupational accidents and occupational diseases – 0.2 percent. Four rates categories of social insurance contributions for occupational accidents and occupational diseases:

- Category I – 0.18 percent;
- Category II – 0.37 percent;
- Category III – 0.9 percent;
- Category IV – 1.8 percent.

11.3.3 Payroll taxes

State social insurance in Lithuania is financed with contributions of employers and the insured persons. These contributions are paid into the State Social Insurance Fund budget which is independent from State and municipal budgets. Part of the funds from the State Social Insurance Fund budget is deducted to the Employment Fund administered by Labour Exchanges and to the Compulsory State Health Insurance Fund administered by the State and Territorial Patent Offices.

11.4 Treatment of particular group

11.4.1 Young persons

There are no special rules young persons.

11.4.2 Older workers

There are no special rules for older workers.

11.4.3 Others if applicable

There are no special rules for social contributions of immigrants, self-employed, sick or disabled, pensioners.

A special basic personal tax-exempt allowance of EUR 210 per month is granted to disabled taxpayers whose capacity for work has been rated at 30-55% and EUR 270 per month is granted to seriously disabled taxpayers whose capacity to work has been rated at 0-25%.

Business and professional income earned by an individual from independent activities, without having registered a commercial enterprise, is taxed on a gross basis at a rate of 15%. Alternatively, an individual may choose to be taxed on his business and professional income on a net basis at a rate of 24%. In the latter case, the allowable deductions include expenses incurred in the ordinary course of business. The amount of deductions may not exceed the income during the tax year.

An individual may also be taxed at a fixed amount of income tax by obtaining a business certificate for pursuing certain types of independent activities. The list of individual activities exercised under a business certificate are listed by the Government and include, for example, private accommodation services, barber and beauty shop activities, handicraft works and

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

translation work. Income derived from certain business activity defined by the Government is subject to the fixed amount of income tax (acquisition of business certificate) which is determined by municipality councils. A fixed amount of income tax shall be paid before a business certificate is issued.

A fixed amount of income tax on income derived from activities exercised with a business certificate cannot be less than the amount of income tax by person who draws minimum wage, except for the cases explicitly stated in the law.

12. Part-time work

There are no special tax rules for part-time work. The same social security contribution rules as for full-time workers.

12.1 *Special benefit rules for part-time work*

12.2 *Special tax and social security contribution rules for part-time work*

13. Policy developments

13.1 Changes introduced: 2 July 2015 – 1 July 2016

- The full basic tax-exempt amount (BTEA) increased from EUR 166 to 200. The income threshold under which the full BTEA is granted increased from EUR 290 to 350. The coefficient used to calculate reduction in BTEA for income above the threshold increased from 0.29 to 0.34.
- The additional tax-exempt amount (ATEA) increased from EUR 60 to 120.
- Since 1st January 2016 maximum unemployment social insurance benefit increased from 303.8 to EUR 311.5.
- Child support for pupils increased from EUR 45.6 to 57.

14. Other benefits

Maternity benefit

Women covered by maternity social insurance are entitled to receive maternity benefit for the period of pregnancy and delivery if:

- they are covered by maternity social insurance;
- they were granted pregnancy and delivery leave according to the procedure established in the laws;
- before the first day of pregnancy and delivery leave they have the social insurance period of not less than 12 months during the last 24 months.

A woman dismissed from work during pregnancy or pregnancy and delivery leave as a result of liquidation or bankruptcy of a company (institution, organization, etc.) as well as upon expiry of the fixed-term employment contract or the term of appointment to the position or the term of authorisation receives the maternity benefit according to the same procedure as used for the employed women on the pregnancy and delivery leave.

The maternity benefit for women, who gave birth after 30 weeks of pregnancy and later, is paid for 126 calendar days. In cases of complicated childbirth and if more than one child was born, the benefit is paid for additional 14 calendar days. Women who have not used the right to a maternity leave before the date of childbirth shall be paid a maternity benefit for 56 calendar days after the childbirth. Women who have not used the right to a maternity leave before the date of childbirth (30 or more weeks of pregnancy), in case of complicated childbirth and if more than one child was born the maternity benefit shall be paid for 70 calendar days after the childbirth.

The maternity benefit for women, who gave birth during the 22–30th week of pregnancy, is paid for 28 calendar days after the childbirth. If the baby lives for 28 days or more the benefit is paid for 126 days after the childbirth. The women who gave birth to a stillborn baby in the 22-30 week of pregnancy shall be paid a maternity benefit for 28 calendar days after the childbirth. A maternity benefit shall be payable for additional 14 calendar days to women who gave birth in the 22nd-30th week of pregnancy, in the case of complicated childbirth and if more than one child was born.

The insured person who is appointed as a guardian of a newborn shall be paid a maternity benefit for the period from the date of establishment of the guardianship until the day the baby is 70 days old.

The amount of a maternity benefit during a maternity leave period shall make 100 per cent of the beneficiary's reimbursed remuneration. The amount of the benefit per month may not be lower than one-third of the current year's insured income valid in the month of the beginning of the maternity leave.

If during period of payment of the maternity benefit the insured person has income and the amount this income is less than the maternity benefit, the said person shall be paid the difference between this benefit and the income received by the person in the appropriate month. If the amount of the income is higher than the maternity benefit or equal to this benefit, maternity benefit is not payable. When paying the maternity benefit the income shall not include the income received for the work carried out before the first day of the maternity leave.

The reimbursed remuneration on the basis whereof the amount of maternity benefits are determined shall be calculated on the basis of the insured person's insured income during twelve consecutive calendar months before the calendar month preceding the month in which a maternity leave began.

Child care benefit

One of the parents (adoptive parents) or a foster parent covered by the maternity social insurance is entitled to the child care benefit if:

- he is covered by maternity social insurance;
- he was granted, according to the procedure laid down in the laws, the child care leave until the child is one-year old or two-years old;
- before the first day of the childcare leave he has the maternity social insurance record of not less than 12 months during the last 24 months.

When a woman receiving the paternity benefit is granted the pregnancy and delivery leave and she becomes entitled to receive the maternity benefit during the pregnancy and maternity leave, she is paid the higher of the benefits or the benefit of her choice.

If a mother did not receive the maternity benefit during the pregnancy and delivery leave, the child care benefit is granted to other individuals entitled to the benefit from the day of birth of the child.

If a mother who received the maternity benefit during the pregnancy and delivery leave dies, the child care benefit is granted to other individuals entitled to the benefit from the day of death of the mother.

The child care benefit is paid during the child care leave until the child is one-year old but not sooner than from the end of the pregnancy and delivery leave until the child is one-year old (including the birthday of the child) or two years old.

The amount of child care benefit depends on chosen receipt duration of the benefit: if the insured person chooses to receive the benefit until the child turns 1 year old, the amount of the benefit is 100% of the beneficiary's reimbursed remuneration; if the person chooses to receive the benefit until the child turns 2 years old – the benefit until the child turns 1 year old is 70 % and 40 % of the beneficiary's reimbursed remuneration until the child turns 2 years old. The amount of a child care benefit for the period of three months after the granting of a childcare leave upon the coming into affect of the court's decision on the adoption of a child shall make up 70 per cent of the beneficiary's reimbursed remuneration. When two or more children are born to the insured person and the person is on the childcare leave, the child care benefits shall be increased taking into account the number of children born simultaneously, however the sum total of the paid benefits may not exceed 100 per cent of the beneficiary's reimbursed remuneration.

The reimbursed remuneration on the basis whereof the amount of child care benefits are determined shall be calculated on the basis of the insured person's insured income during twelve consecutive calendar months before the calendar month preceding the month in which a childcare leave began.

If the insured person who has been or is on childcare leave in the first year of the child's growing years has income and the amount these income is less than the maternity (paternity) benefit, the said person shall be paid the difference between this benefit and the income received by the person in the appropriate month. If the amount of the income is higher than the maternity (paternity) benefit or equal to this benefit, maternity (paternity) benefit is not payable. When paying the maternity (paternity) benefit the income shall not include the income received for the work carried out before the first day of the childcare leave. Income is not evaluated and maternity (paternity) benefit is not decreased if the insured person gets the benefit during the second year of child care (until the child turns two years old).

The amount of a child care benefit per month shall not be less than one third of the current year's insured income valid at the beginning month of a childcare leave.

Paternity benefit

Father covered by the sickness and maternity social insurance is entitled to the paternity benefit if:

- he is covered by sickness and maternity social insurance;
- he was granted, according to the procedure laid down in the laws, parental leave until the child is one month old;
- in the last 24 months before the first day of parental leave he has the social insurance period for sickness and maternity of at least 12 months;
- he has acknowledged paternity.

Paternity Benefit is paid maximum 1 month from the date of childbirth.

The amount of the paternity benefit is equal to 100% of the reimbursed salary of the beneficiary. The benefit must not be lower than 1/3 of the average insured income of the current year.

Pregnancy grant

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

A pregnant unemployed woman, who is not eligible for a maternity allowance, shall be granted a lump-sum pay in the amount of 2 BSB (EUR 76) 70 days before a baby is due. This benefit is paid from the State budget irrespective of whether the person is covered by state social insurance or not.

Sickness benefit

Individuals covered by the sickness social insurance are entitled to receive the sickness benefit. The benefit is granted if:

- temporary incapacity for work is caused by:
 - disease or injury, except for the cases where the sickness benefit is granted for accidents at work or occupational diseases recognized as insured events;- outbreak and epidemic of contagious diseases;
 - child care if the mode for stopping the spread of infections is imposed in child care facilities;
 - sickness of a family member when he needs nursing;
 - treatment at prosthetic and/or orthopedic in-patient facility resulting in the loss of some of the income from work;

before the day on which temporary incapacity for work was established, the insured has the social insurance period for sickness and maternity of at least 3 months in the last 12 months or 6 months in the last 24 months.

The sickness benefit for the first 2 calendar days of sickness overlapping with the work schedule of an employee (except for the benefit for nursing a family member) is covered by the employer. The sickness benefit covered by the employer may not be lower than 80% and higher than 100% of the average salary of the beneficiary calculated according to the procedure established by the Government.

From the third day of incapacity for work the sickness benefit shall be paid from the State Social Insurance Fund. The amount of a sickness benefit paid with the State Social Insurance Fund resources shall make up 80 per cent of the reimbursed remuneration of the beneficiary..

The amount of a sickness allowance paid with the State Social Insurance Fund resources shall make up 85 per cent of the reimbursed remuneration of the allowance beneficiary for nursing a sick family member or looking after a sick child.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.